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|---------------------------------------------|---------------------------------------------------------------|
| <b>Meeting Name:</b>                        | Licensing Committee                                           |
| <b>Date:</b>                                | 29 January 2026                                               |
| <b>Report title:</b>                        | Licensing Act 2003: Review of the Late-Night Levy             |
| <b>Ward(s) or groups affected:</b>          | All Wards                                                     |
| <b>Classification:</b>                      | Open                                                          |
| <b>Reason for lateness (if applicable):</b> | N/A                                                           |
| <b>From:</b>                                | Strategic Director of Environment, Sustainability and Leisure |

## RECOMMENDATION(S)

1. That the licensing committee review Southwark's Late Night Levy (LNL) and determine to: -
  - (a) maintain the levy as it is;
  - (b) extend the levy it to all late night premises;
  - (c) remove the late night levy.
2. If the levy is retained, the licensing committee is asked to agree a 30/70 levy split between the Council and Police and the licensing committee to convene a meeting on how the council's 30% portion of the revenue shall be spent from the 1 April 2026.

## BACKGROUND INFORMATION

3. A "Late Night Levy" (LNL) is a fee that licensing authorities in England and Wales can choose to implement, to raise revenue from any premises that are licensed to sell or supply alcohol between 00:00 (midnight) and 06:00, towards the costs of policing the late-night economy.
4. The funds raised by LNL are split between the police and the council. Under the Police Reform Act 2011 (the 2011 Act), LNL net revenue, after deducting the cost of collection and administration, must be divided with at least 70% going to the police.
5. The local authority is required to use its portion of the Levy on activities, which must be related to mitigating the impact of the supply of alcohol and associated activity, within the specified hours, namely:
  - The reduction or prevention of crime and disorder
  - The promotion of public safety

- The reduction or prevention of public nuisance
  - The cleaning of any relevant highway or land in its area.
6. The levy applies whether the authorised hours for the sale or supply of alcohol under the licence held are used or not by the premises.
  7. Exemptions from the LNL:
    - a) Premises with overnight accommodation (this exemption does not apply to any premises which serve alcohol to members of the public who are not staying overnight at the premises).
    - b) Theatres and cinemas (this exemption only applies if alcohol is sold during the late-night supply period, only for consumption on the premises, to ticket holders, participants in the production or invited guests to private events; they must be bona-fide theatres or cinemas, and the sale of alcohol must not be their primary purpose).
    - c) Community amateur sports clubs (these are clubs registered as community amateur sports clubs that are entitled to various tax concessions including relief from business rates).
    - d) New Year's Eve premises only (this applies to premises which are authorised to sell/supply alcohol between midnight and 06:00 and applies on New Year's Day only).
  8. Temporary event notices are exempt from the late-night Levy because they are not included within the scope of the legislation governing the levy.
  9. The money collected by the local authority requires that at least 70% of all monies collected must be passed to the police and crime commissioner to fund activities like crime and disorder reduction in the night-time economy.
  10. Under section 142 of the Policing and Crime Act 2017, several changes were made to the late-night levy which came into force in July 2023.

**Key changes introduced by Section 142:**

- **Targeted areas:** Allows licensing authorities to apply the late-night levy to smaller, specific geographical zones within their area, instead of the entire district.
- **Inclusion of late-night refreshment:** Extends the levy to cover businesses providing late night refreshment, not just alcohol.
- **PCC involvement:** Enables Police and Crime Commissioners to request that a licensing authority introduce a levy in their area.
- **Transparency:** Requires licensing authorities to publish information explaining how the funds raised by the levy are spent.

11. These changes commenced as of 13 July 2023. The intention of these changes is to make the levy more flexible for local areas, fairer to business and more transparent. It is noted to date that Southwark Council has not taken into account the changes brought in.
12. The LNL supports the aim of Southwark's licensing policy, which is to uphold the licensing objectives by creating further opportunities to reduce crime and disorder, public nuisance and the public safety risks, that are created by the supply of alcohol and late night refreshment in the late night economy time period.

### **Southwark's Approach to Late Night Levy**

13. The Council Assembly adopted the late-night levy on 17<sup>th</sup> July 2019 with an implementation date of 1<sup>st</sup> September 2019 and agreed to divert up to 100% of the LNL revenue to the Police as opposed to the 70/30% split outlined in the legislation.
14. It also agreed that a reduction of 30% be granted to premises licence holders in relation to on-trade premises that are in receipt of Small Business Rate Relief (as specified in Part III of the Local Government Finance Act 1988) and have a rateable value of £12,000 or less.
15. The Levy currently funds a night-time economy (NTE) Police team. This team works with council enforcement officers, to independently visit and inspect licensed premises and deal with incidents and complaints arising from licensed premises operating in the nighttime economy.
16. The Levy does not fund Licensing officers' weekend overtime costs, which amount to approximately £40,000 per year. These costs are met from existing divisional revenue budgets.
17. The initial police resource comprised one Police Sergeant (PS) and four Police Constables (PCs) at an annual cost of £298,000. This cost was subject to a 2.5% uplift under the police remuneration scheme, increasing the total to £316,750. Currently, under the Section 92 agreement, the 2025/26 grant allocation is £477,500, funding one PS and five PCs primarily focused on Night-Time Economy activities.
18. The levy raised is estimated at £370,000, requiring a £107,000 contribution from revenue budgets (General Fund) to meet the full cost of the Police Service. Ideally, the levy should be at least equivalent to or greater than the total policing cost to avoid reliance on additional
19. The current s.92 agreement with the police expires in March 2026. If a decision to revoke the levy were taken, alternative funding would have to be identified, or this service would be at risk.

20. Any decision to suspend or revoke the LNL must be taken by the council assembly, but the licensing committee will need to make a recommendation.
21. The current s.92 agreement expires 31 March 2026. If no contract is in place, any money collected after this date must be refunded.

### **Income generated**

22. The LNL is designed to be self-financing, with council administration and collection expenses deducted from gross receipts, before the remaining funds are allocated to relevant activities.
23. In 2019, the potential maximum income was calculated based on the rateables value<sup>1</sup> of 439 premises. No further review has been carried out since.
24. Our records as at October 2025, demonstrate that since 2019, a total of 89 premises have varied their licences to reduce their hours of operation so as to avoid paying the levy. Currently a total of 347 premises is liable to pay the LNL. In 2024 a total of 17 premises were suspended for non-payment of the levy and the licences remain suspended.
25. The table below presents income received from the Late Night Levy (LNL) over the past three financial years (2023/24 to 2025/26). The figure for 2025/26 reflects actual receipts as of December 2025. The largest collections typically occur in November and December each year, when a significant proportion of licence fees become due. Based on this trend, the projected total for 2025/26 is estimated at £360,000.

| <b>Month</b> | <b>2023/24</b>   | <b>2024/25</b>   | <b>2025/26</b>   |
|--------------|------------------|------------------|------------------|
| April        | (46,459)         | (37,715)         | (15,586)         |
| May          | (16,539)         | 0                | (2,688)          |
| June         | (11,209)         | (20,400)         | 0                |
| July         | (39,158)         | (47,797)         | (53,027)         |
| August       | (36,254)         | (22,341)         | (36,964)         |
| September    | 917              | (14,058)         | (36,117)         |
| October      | (184,602)        | (177,156)        | (768)            |
| November     | (32,712)         | (9,170)          | (183,789)        |
| December     | 5,117            | (5,976)          | (12,980)         |
| January      | 0                | (20,841)         |                  |
| February     | 1,365            | 1,554            |                  |
| March        | (3,286)          | 1,536            |                  |
| <b>Total</b> | <b>(362,820)</b> | <b>(352,363)</b> | <b>(341,919)</b> |

<sup>1</sup> These are Statutory fees and there is no discretion for council to set the fees.

## Potential Income from April 2026

26. After evaluating the licensed premises and assessing the potential revenue from late-night refreshment operators, the table below presents the payable Late Night Levy (LNL) amount for holders based on the non-domestic rateable value of commercial properties within each designated band.

| Ratable value bands (based on the existing fee bands) |                   |                    |                     |                    |                                                                                         |                                                                                         |
|-------------------------------------------------------|-------------------|--------------------|---------------------|--------------------|-----------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| A                                                     | B                 | C                  | D                   | E                  | D x 2                                                                                   | E x 3                                                                                   |
| No rateable value to £4,300                           | £4,301 to £33,000 | £33,001 to £87,000 | £87,001 to £125,000 | £125,001 and above | Multiplier applies to premises in category D that primarily or exclusively sell alcohol | Multiplier applies to premises in category E that primarily or exclusively sell alcohol |
| Annual levy charges                                   |                   |                    |                     |                    |                                                                                         |                                                                                         |
| £299                                                  | £768              | £1,259             | £1,365              | £1,493             | £2,730                                                                                  | £4,440                                                                                  |

27. A multiplier is applied to premises in Band D and E that primarily or exclusively sell alcohol for consumption on the premises. This will ensure that larger clubs and bars make a higher contribution towards the levy.
28. The table below sets out the current number of licensed premises in each band that are liable to pay the LNL from its inception in 2019 to 31 December 2025.

| Bands                                       | 2025       |
|---------------------------------------------|------------|
| Band A: 0 - 4300                            | 38         |
| Band B: 4301 - 33,000                       | 157        |
| Band C: 33,001 - 87,000                     | 128        |
| Band D (No Multiplier) : 87,001 - 125,000   | 36         |
| Band E (No Multiplier) : 125,001 and over   | 96         |
| Band E (With Multiplier) : 125,001 and over | 1          |
| <b>Total</b>                                | <b>456</b> |

## Premises wishing to avoid the LNL

29. Since its inception in 2019 some premises with late night authorisations reduced their licensing hours, via a minor variation of their premises licence, so that the LNL will not apply to their premises. The application fee was waived by the authority if an application was submitted within two

months from the start of the levy. It is not possible to predict the number of premises that will continue to do each year as this is outside the scope of the licensing authority. The only certainty is that it will impact on the actual amount of levy raised.

30. Operators could add a premises license condition by means of a minor variation, stating that the licence does not authorise the sale of alcohol during the late-night supply period. This is similar to a condition stating that the premises will not sell alcohol while the levy has effect, which is widely accepted in existing levy areas to preserve hours, but avoid the levy if they are not operating at relevant hours. However, with the introduction of late night refreshment this may not provide the desired effect unless they also include the provision of late night refreshments.

## **KEY ISSUES FOR CONSIDERATION**

### **Recommendation 1(a) – Retain the current Late Night Levy**

31. To retain the existing levy as currently in place, namely for premises with authorised hours for the sale or supply of alcohol.
32. Should the existing levy be retained, the committee is asked to determine recommendation 2, to agree a 30/70 levy split between the Council and Police and the licensing committee convene a meeting on how the council's 30% portion of the revenue shall be spent from the 1 April 2026.

### **Recommendation 1(b) - Variation to the current Late Night Levy**

33. A proposal to extend the Late Night Levy to include late night refreshment premises operating between midnight and 6:00 am was approved by the Licensing Committee in September 2025 and subsequently subjected to a six-week statutory public consultation as part of the Licensing Policy 2026–31.
34. A formal public notice was published on the council's website and local newspaper, with a further 4 week public consultation took place between 24 November 2025 to 22 December 2025. The consultation offered respondents an opportunity to comment on the variation of the levy.
35. The consultation received 15 responses from a mixture of businesses, residents and licensing solicitors of which 3 solicitors merely sought clarity on the proposal, and no further comments were made. The feedback recorded has been analysed, and details of the results are provided in **Appendix A**, for the committee to review for consideration.

### **Recommendation 1(c) – Remove the Late Night Levy**

36. If a decision is made for the LNL to be revoked from April 2026 then the council can subsequently re-introduce the levy at some future date, subject to following the statutory procedures, which would include carrying out a full consultation exercise again similar to when it was first introduced.

### **Recommendation 2 - Agree a 30/70 levy split between the Council and Police and the licensing committee convene a meeting on how the council's 30% portion of the revenue shall be spent from the 1 April 2026.**

37. Under the current section 92 arrangements, the Police retain 100% of the late-night levy. However, the recommendation is for the authority to retain 30% of the levy. This allocation could be used to strengthen licensing-related initiatives such as enhanced compliance checks, funding additional licensing enforcement officers, supporting best-practice training for premises, and developing community safety campaigns to reduce alcohol-related harm.
38. These changes are timely given the recent shift in Police approach to licensing and the amendments introduced under section 142 of the Policing and Crime Act 2017, which came into force in July 2023, allowing greater flexibility in how the levy is applied and shared.
39. The Police in London are now centralising licensing resources, meaning decisions on resource allocation will be determined at a strategic level rather than locally. This shift reflects a move towards an intelligence-led, risk-based approach, focusing on high-risk premises and hotspot areas.
40. Retaining 30% of the levy locally would enable the authority to complement this centralised model by funding local initiatives that support compliance and community safety, ensuring that local priorities are not overlooked.
41. As stated in para. 4, under the 2011 Act, LNL, net revenue, after deducting the cost of collection and administration, must be divided with 70% going to the police and 30% to the council. These monies could be spent on the police NTE contract, as the income raised through the levy does not cover the full cost of this service.
42. Before these percentages are divided, a licensing authority can deduct the costs it incurs in connection with the introduction or variation, administration, collection and enforcement of the levy. This happens prior to the levy revenue being apportioned between the police and licensing authority. The regulations prescribe the expenses which may be deducted before apportionment.

43. The deductible costs may include (but are not necessarily limited to) the following:
- The preparation and publication of the consultation document, including publishing it online and sending details to the police and crime commissioner, the relevant chief officer of police and all premises licence and club premises certificate holders whose authorisations permit the supply of alcohol after midnight on any day
  - The collection of levy payments
  - The enforcement of levy payments
  - The cost of processing applications for a variation in relation to the introduction of the levy.

## **Governance**

44. There are no specific restrictions on the amount of the expenses which licensing authorities can claim. However, licensing authorities have to account for their expenses following existing procedures.
45. During the initial consultation in 2019, Southwark indicated that a "board" would be responsible for deciding how to allocate 30% of the levy funds. This board would consist of members from the licensing committee and would report its decisions to the full committee. It can also seek non-binding advice on spending from any interested parties, such as a Business Information District (BID) or a resident association. The licensing authority has expressed concern that even when fully collected, the levy has not brought in as much income as expected. Additionally, the cost of the police NTE contract has increased. Ideally, revenue from this levy should be used to cover council resources needed for the nighttime economy, such as officers' overtime.
46. The Act does not detail board operations; the board should follow standard local authority governance rules. Accordingly, decisions regarding the allocation of the levy surplus may be taken by the licensing committee, a designated sub-committee, or an officer with delegated authority, pursuant to Section 101 of the Local Government Act 1972.
47. Authority to delegate decision-making to a board consisting of volunteer representatives from the police, licensed trade, and residents does not exist. While such a board may be formed to provide recommendations to the licensing committee, sub-committee, or authorised officer, it cannot serve as an independent decision-making body.



## **Community, equalities (including socio-economic) and health impacts**

### **Community impact statement**

48. Southwark's statement of licensing policy aims to achieve a balance between providing a platform upon which responsible business operators may contribute toward a thriving business and late-night economy, whilst ensuring that the quality of life of those who live and work in the borough is protected and enhanced through the licensing system.
49. The policy seeks to provide the necessary balance between responsible business operators contributing toward a thriving business and late night economy whilst ensuring that the quality of life of those who live and work in the Borough is protected and enhanced through the licensing system. We believe these aims are achievable if all parties concerned work together.
50. Expenditure of the income generated from the levy has a positive impact on the wider community by reducing the potential for alcohol-related crime and anti-social behaviour, thereby improving the quality of life of residents and enhancing the enjoyment of visitors to the borough.

### **Equalities (including socio-economic) impact statement**

51. Equality impact assessments are an essential tool to assist Councils to comply with the equalities duties and to make decisions fairly. Equalities and human rights impact assessments that are carried out should be mindful of the protected characteristics under the Equality Act 2010.
52. Members will need to consider whether there are any potential negative impacts on the protected characteristics as outlined in the assessment at the Committee Hearing. A further assessment has carried out following the public and statutory consultation in preparation for returning to the Licensing Committee. The current assessment is available in **Appendix B**. Any decision made by Members of the Committee will also have to hold this in mind.

### **Health impact statement**

53. Licensing policies have an important role in promoting a healthier environment and protecting public health in Southwark. This policy enables licensed premises to introduce operating practices that aim to minimise risks to health and safety, such as binge drinking, accidents, and violence. It also allows the authority to restrict new licenses where the cumulative impact of licensed premises is negatively affecting local communities, through nuisance or disorder. Areas with high densities of licensed premises can be associated with increased rates of alcohol related hospital admissions, ambulance call outs, crime and antisocial behaviour. The policy can support licensing practice that reduces alcohol-related harm, which can disproportionately affect vulnerable communities.

## **Climate change implications**

54. On 27 March 2019, the council declared a climate emergency and considers the implications of climate change in all of its decisions.
55. Southwark expects patrons to be mindful that Southwark has declared a climate emergency. In this context, operational measures such as abstaining from the use of patio heaters and avoiding the use of single-use plastics and following government guidance may be considered.
56. A review of the late night levy is not intended to have a negative impact on climate change.

## **Financial implications**

57. The annual Metropolitan Police costs of approx. £477,000 is funded by the Late Night Levy (LNL) and the general fund. The review of the LNL may have resource implications for the council. The LNL is intended to be self-financing, with administration and collection costs deducted from gross receipts prior to allocating the remaining funds to designated activities. However, in the absence of the LNL or if there is a reduction in LNL income, there exists a significant risk of funding shortfalls for the Night-Time Economy (NTE) team costs, which would need to be addressed through alternative sources within the regulatory services budget.

## **SUPPLEMENTARY ADVICE FROM OTHER OFFICERS**

### **Assistant Chief Executive - Governance and Assurance**

58. The Police Reform and Social Responsibility Act 2011 (“the 2011 Act”) allows the council to raise revenue from any premises that are licensed to sell or supply alcohol by way of a Late Night Levy (LNL). The powers to introduce the LNL come from within the 2011 Act.
59. In considering whether to introduce a LNL, the council must first consider whether it is worth having the Levy, having regard to the current cost of tackling the crime and disorder caused by the night time economy, and essentially due to those premises licensed to sell or supply alcohol between 00:00 (midnight) and 06:00.
60. The funds raised are used to contribute to the costs of policing the late-night economy and at least 70% of the net revenue must be given to the police.
61. On 13 July 2023, Section 142 of the Policing and Crime Act 2017 was amended to give licensing authorities the power to:
  - Apply the levy to late night refreshment (LNR) premises.
  - Target the levy at specific geographical areas, rather than the whole local authority area.

- Allow a 30% reduction to LNR premises that qualify for Small Business Rate Relief.
62. The 2011 Act does not prohibit the local authority and police from agreeing to a different agreement with regard to the use of the funds raised in the future.
63. Should the licensing committee determine to remove the LNL, it would be a matter for council assembly to ratify the decision to remove it pursuant to Schedule 1 of The Local Authorities (Functions and Responsibilities) (England) Regulations 2000, as amended in 2013.

### **Strategic Director of Resources (ESL25/127)**

64. The Strategic Director of Resources (SDR) notes the recommendations in this report is requesting the licensing committee to consider the recommendations set out in paragraph 1 above
65. The Strategic Director Resources also notes the financial implications and the potential additional financial implications arising from changes to the level of the Levy.
66. Officer time and any other running costs connected with these recommendations are to be contained within existing departmental revenue budgets.

### **BACKGROUND DOCUMENTS**

| <b>Background Papers</b>                                                                                                                             | <b>Held At</b>                                               | <b>Contact</b>                                                                                                |
|------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| The Licensing Act 2003 plus secondary regulations                                                                                                    | Southwark Licensing<br>C/o 160 Tooley Street, London SE1 2QH | Mrs Esther Jones<br>Email: <a href="mailto:esther.jones1@southwark.gov.uk">esther.jones1@southwark.gov.uk</a> |
| Alcohol Licensing: Late Night Levy July 2025 (House of Commons Library)                                                                              |                                                              |                                                                                                               |
| Crime and Policing Act 2011 (as amended 2017)                                                                                                        |                                                              |                                                                                                               |
| Police Reform and Social Responsibility Act 2011.                                                                                                    |                                                              |                                                                                                               |
| The Late Night Levy (Application and Administration) Regulations 2012 and The Late Night Levy (Expenses, Exemptions and Reductions) Regulations 2012 |                                                              |                                                                                                               |

## APPENDICES

| No.        | Title                                       |
|------------|---------------------------------------------|
| Appendix A | Variation of Levy Consultation results      |
| Appendix B | Equalities Impact and Needs Analysis Report |

## AUDIT TRAIL

|                                                                         |                                                                              |                          |  |
|-------------------------------------------------------------------------|------------------------------------------------------------------------------|--------------------------|--|
| <b>Lead Officer</b>                                                     | Aled Richards, Strategic Director of Environment, Sustainability and Leisure |                          |  |
| <b>Report Author</b>                                                    | Bina Patel, Business Unit Manager Neighbourhood Nuisance                     |                          |  |
| <b>Version</b>                                                          | Final                                                                        |                          |  |
| <b>Dated</b>                                                            | 24 December 2025                                                             |                          |  |
| <b>Key Decision?</b>                                                    | Yes                                                                          |                          |  |
| <b>CONSULTATION WITH OTHER OFFICERS / DIRECTORATES / CABINET MEMBER</b> |                                                                              |                          |  |
| <b>Officer Title</b>                                                    | <b>Comments Sought</b>                                                       | <b>Comments Included</b> |  |
| Assistant Chief Executive – Governance and Assurance                    | Yes                                                                          | Yes                      |  |
| Strategic Director of Resources                                         | Yes                                                                          | Yes                      |  |
| <b>Cabinet Member</b>                                                   | No                                                                           | No                       |  |
| <b>Date final report sent to Constitutional Team</b>                    |                                                                              | 15 January 2026          |  |